



Inheritance Tax & Trusts

Inheritance Tax Allowances

The Nil Rate Band: £325,000

The Residence Nil Rate Band: £175,000

- Married couples can 'double' up their total inheritance tax allowances to a maximum of £1m.
- Any excess is subject to inheritance tax, (40%).



How You Can Avoid Inheritance Tax



Make gifts
to family and
loved ones



Take out a life
assurance policy
to cover the
tax bill



Utilise Business
Relief /
Replacement
Relief



Shelter assets
within tax-
efficient
investments



Move assets
into a trust



The Use of Trusts

- There are several different types of Trust available
- Each has their own features, benefits and tax treatment
- Can provide tax-efficiency, flexibility and access to funds
- Choosing the right Trust is key
- Bespoke advice is required



The 'best of both worlds'



What if you can afford to give assets away to save inheritance tax...



...but you require flexibility to access the capital?



We have Trusts available to help you achieve both of these objectives



Flexible Trusts – Key Benefits

- Retain access and control of your money
- Can draw regular income or make lump sum withdrawals
- All growth immediately exempt from inheritance tax
- No inheritance tax liability after 7 years in Trust
- Protection against the risk of care home fees



Trust Comparison - Features & Benefits

	Standard Trusts		Bespoke Flexible Trusts		
	Absolute Trust	Discretionary Trust	Discounted Gift Trust	Reversionary Interest Trust	Loan Trust
Can the Settlor Retain Access to Capital / Income?	✗	✗ (GWROB)	✓ (Income)	✓ (Entitlement: upto 10% p.a.)	✓ (Full access to original capital)
Is the Trust IHT Efficient?	✓	✓ (Settlor excluded)	✓	✓	✓
Is income / growth achieved IHT Tax-Efficient?	✗ (Up to 45%)	✗ (Up to 45%)	✓	✓	✓
Is some IHT relief available in less than 7 years?	✓	✗	✓	✓	✓
Exempt from Entry Charge and Periodic Tax Charge?	✓	✓ (< £325k)	✓ (Bare Version)	✓ (< £325k)	✓ (Bare Version)
100% Protection under the Financial Services Compensation Scheme?	✗ (< £85k)	✗ (< £85k)	✓	✓	✓



Blending Access, Flexibility & Inheritance Tax Efficiently



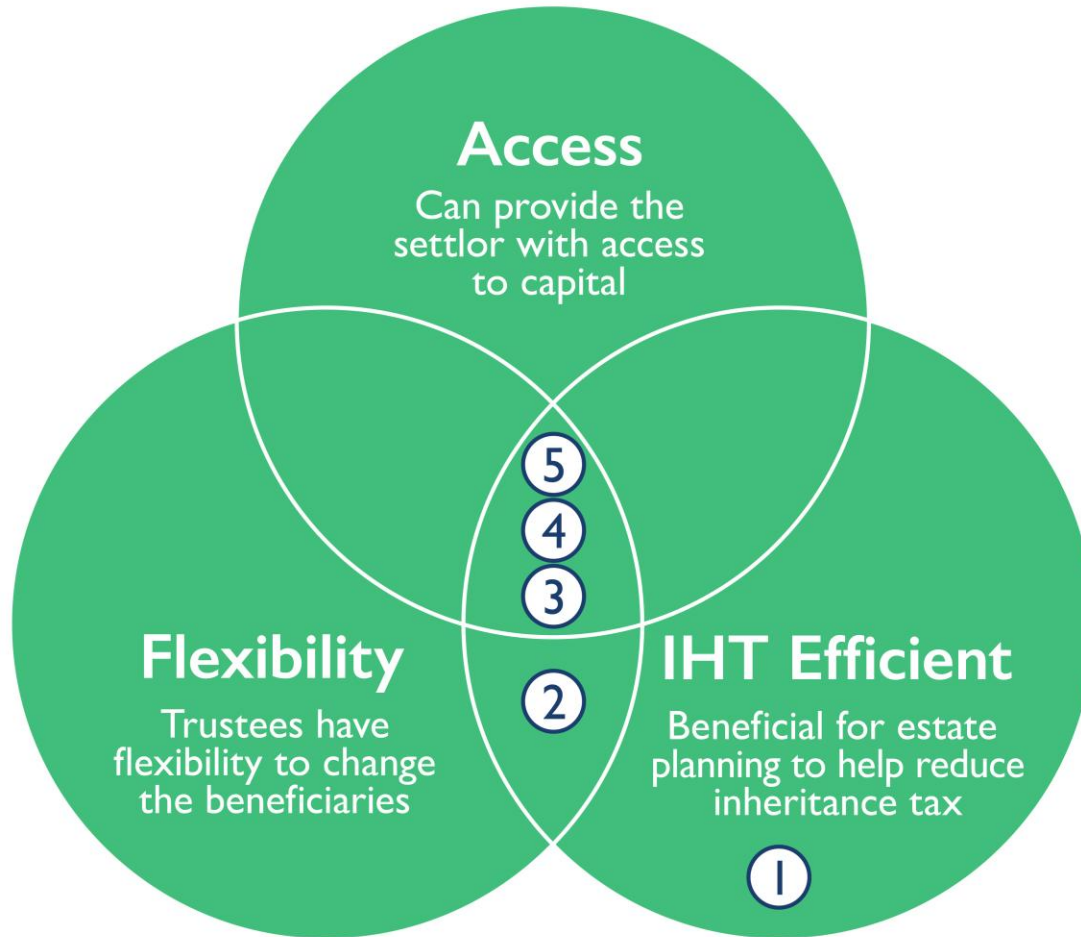
Can provide the settlor with access to capital

Trustees have flexibility to change the beneficiaries

Beneficial for estate planning to help reduce inheritance tax



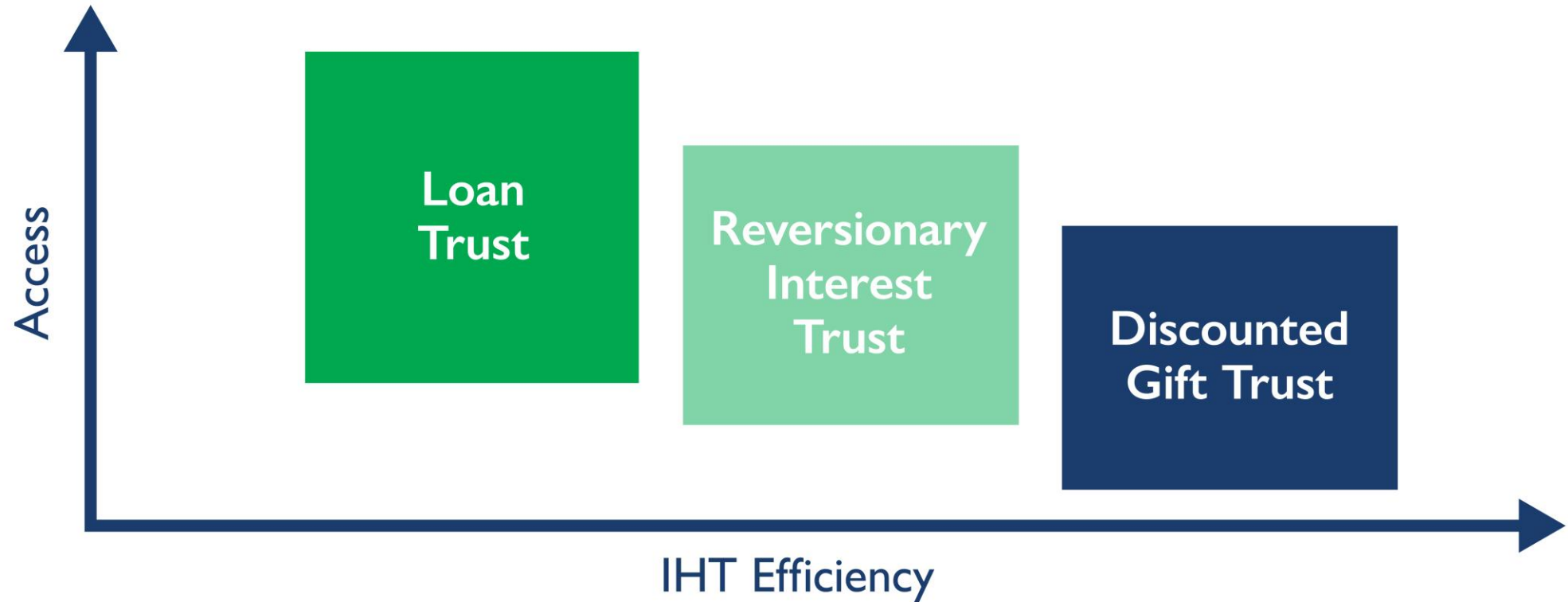
Inheritance Tax Planning - Trust Options



1. Absolute Trust
2. Discretionary Trust
3. Discounted Gift Trust
4. Reversionary Interest Trust
5. Loan Trust



Achieving the right balance - Access and IHT Efficiency:

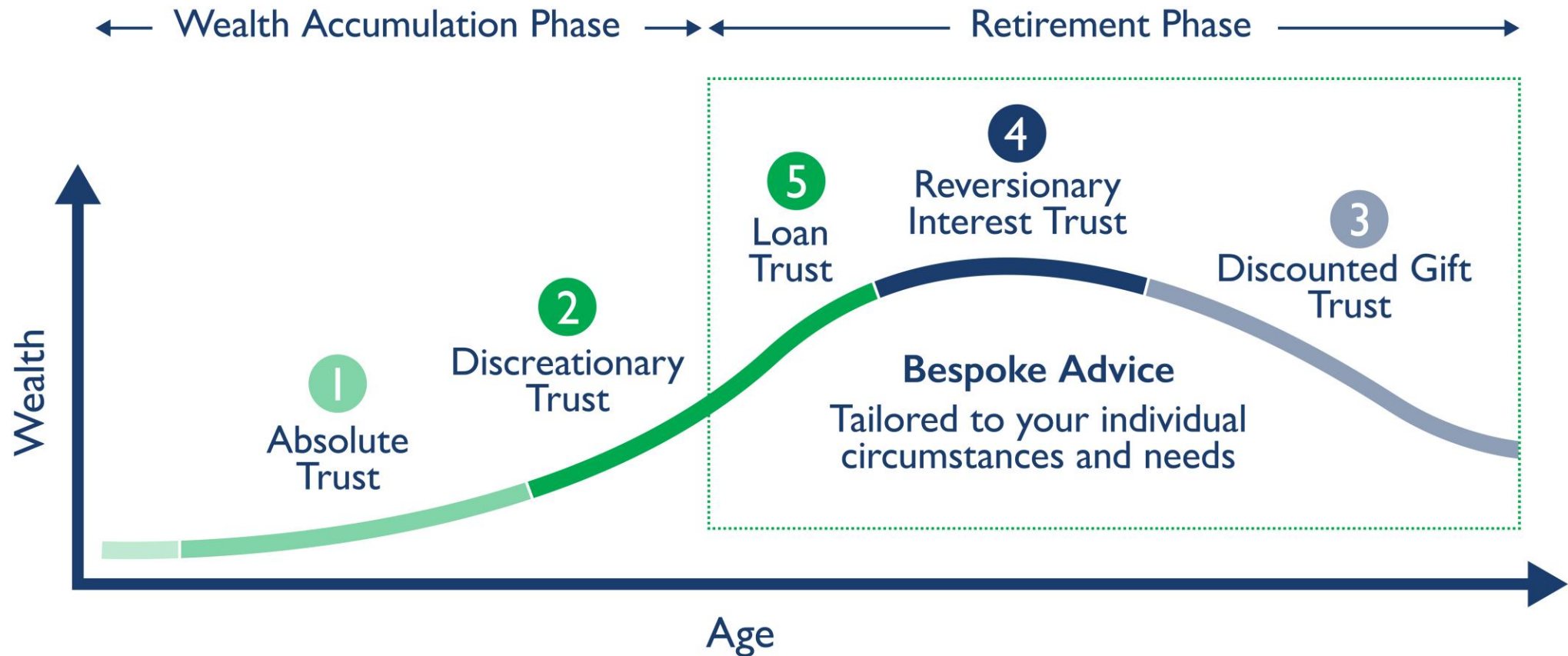


Trust Options:

①	Absolute Trust	A simple IHT solution where you do not require access to the capital, knows who you want to leave your wealth to, and require no future flexibility.
②	Discretionary Trust	An IHT solution for those who do not require access to capital and want control and flexibility over distribution of wealth.
③	Discounted Gift Trust	You gift money to a trust and receive regular fixed capital payments for life.
④	Reversionary Interest Trust	A flexible solution where you gift money to a trust and have the option of taking capital payments plus any growth at fixed points in the future.
⑤	Loan Trust	Provides you with access to the original capital invested, with future investment growth being outside of your estate for IHT.



Access and IHT efficiency - Which Trust is most suitable for me?



Taxation of Trusts

Standard Trusts

Absolute Trust

- The Trust's assets belong to the beneficiary(s)
- Income taxed at beneficiary's highest marginal rate (up to 45%)
- Growth subject to capital gains tax on beneficiary (18% / 24%)
- Beneficiary must report to HMRC via self-assessment
- If beneficiary is under 18 - taxed at Settlor's marginal rate



Discretionary Trust

- Income tax paid by Trustees at special Trust rate: 45%
- On distribution: beneficiary's highest marginal rate (up to 45%)
- Beneficiary can reclaim overpaid tax
- Growth is subject to capital gains tax within the Trust (at 24%)
- Trustees must submit annual tax return to HMRC



Bespoke Flexible Trusts

Discounted Gift Trust

- Settlor receives fixed regular payments (discounted from IHT)
- Regular payments up to 5% p.a. are free from income tax
- Growth is free of capital gains tax
- All growth is immediately exempt from inheritance tax
- No annual reporting to HMRC



Reversionary Interest Trust

- Annual income and growth not subject to tax
- Entitlement to tax-efficient withdrawals (up to 10% p.a.)
- If not taken, entitlements can be 'rolled up'
- All growth immediately exempt from inheritance tax
- No annual reporting to HMRC



Loan Trust

- Annual income and growth not subject to tax
- Can make partial / full withdrawals with no liability to tax
- All growth immediately exempt from inheritance tax
- Original loan remains part of the estate for inheritance tax
- No annual reporting to HMRC



Inheritance Tax Advice

Inheritance Tax Planning Advice

- We are completely independent and impartial
- Research of the whole marketplace
- Access to the UK's leading Trust Providers
- All options considered
- Best Advice provided and guaranteed



Tailored To You

- There is no 'one size fits all' solution
- Subject to individual circumstances and needs
- A full tax and financial planning review is recommended
- Requires holistic advice and a bespoke solution
- We provide ongoing guidance, advice and support



Advice Guarantee

- The independent financial advice we provide is fully guaranteed by New Leaf Distribution Ltd.
- We also carry professional indemnity insurance with a maximum claims limit of £2m per claim.



Important Information

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